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Trading Basics

- Definition: Buying and selling financial instruments (stocks, bonds, derivatives) to profit from price fluctuations.
- Objective: To generate returns through short-term price movements, rather than long-term investment.
- Participants: Individual traders, institutional investors (banks, mutual funds), brokers, market makers.

Types of Markets

- Primary Market: Where new securities are issued for the first time (e.g., IPOs).
- Secondary Market: Where existing securities are traded among investors (e.g., stock exchanges).
- Spot Market: Immediate delivery of the asset.
- Futures Market: Agreement to buy/sell an asset at a predetermined price on a future date.

Trading Mechanisms

- Order-Driven Markets: Orders are placed by buyers and sellers, and transactions occur when prices match (e.g., limit order book).
  - Limit Order: Buy/sell at a specified price or better.
  - Market Order: Buy/sell at the best available current price.
- Quote-Driven Markets (Dealer Markets): Market makers/dealers provide bid and ask prices, and facilitate trades.
- Hybrid Markets: Combine features of both order-driven and quote-driven markets.

Key Order Types

- Market Order: Execute immediately at the best available price.
- Limit Order: Execute at a specified price or better.
- Stop Order (Stop-Loss): Becomes a market order once a specified price is reached, used to limit losses.
- Stop-Limit Order: Becomes a limit order once a specified price is reached.
- Good-Till-Cancelled (GTC): Order remains active until filled or cancelled by the trader.
- Day Order: Order remains active only for the current trading day.

Settlement Process (T+2)

- Trade Date (T): The day the transaction occurs.
- Settlement Date: The day funds and securities are exchanged.
- T+2 Settlement: For most equities, settlement occurs two business days after the trade date.
  - Example: Trade on Monday (T), settlement on Wednesday (T+2).
- Purpose: To ensure orderly transfer of ownership and funds, and reduce counterparty risk.

Trading Strategies

- Scalping: Profiting from small price changes, often closing positions within minutes.
- Day Trading: Opening and closing positions within the same trading day, avoiding overnight risk.
- Swing Trading: Holding positions for a few days or weeks to profit from short-to-medium term price swings.
- Position Trading: Holding positions for weeks, months, or even years, based on long-term trends.
- Arbitrage: Simultaneously buying and selling an asset in different markets to profit from price discrepancies.

Risk Management in Trading

- Stop-Loss Orders: Automatically close a position if the price moves against the trader beyond a certain point.
- Position Sizing: Determining the appropriate amount of capital to allocate to each trade.
- Diversification: Spreading investments across different assets to reduce overall risk.
- Risk-Reward Ratio: Assessing the potential profit versus potential loss for each trade.
- Understanding Leverage: Using borrowed capital to increase potential returns, but also potential losses.

Technical Analysis

- Definition: Studying past market data, primarily price and volume, to identify patterns and predict future price movements.
- Key Tools:
  - Charts: Candlestick, bar, line charts.
  - Indicators: Moving Averages (MA), Relative Strength Index (RSI), Moving Average Convergence Divergence (MACD).
  - Support & Resistance: Price levels where buying or selling pressure is expected to be strong.
  - Trendlines: Lines connecting price highs or lows to identify market direction.

Fundamental Analysis

- Definition: Evaluating a security's intrinsic value by examining economic, financial, and other qualitative and quantitative factors.
- Key Factors:
  - Economic Data: GDP, inflation, interest rates.
  - Industry Analysis: Sector growth, competition.
  - Company Fundamentals: Earnings, revenue, balance sheet, management quality.
- Objective: To determine if a security is undervalued or overvalued.